

CHARTER-SMITH v MALLERY

24CV47281

PLAINTIFF'S AMENDED MOTION FOR LEAVE TO FILE FIRST AMENDED COMPLAINT/AMENDED MOTION TO SUBSTITUTE SUCCESSOR-IN-INTEREST/AMENDED MOTION TO SEAL DOCUMENTS

This case involves a dispute over real property known as 1374 Hubbard Road, Sheep Ranch, CA 95246 ("Property.") Now before the Court are three amended motions brought by Plaintiff: 1) Motion for Leave to File First Amended Complaint ("FAC"); 2) Motion to Seal; and 3) Motion to Substitute Successor in Interest for Defendant Terry Mallery.

I. Facts

Alison Charter-Smith and Anthony Jaehnichen (collectively "Plaintiffs") are husband and wife and have owned the Property since 2015. (Complaint ¶ 1.) In January of 2018, Plaintiffs secured a Promissory Note in the amount of \$478,000.00 (the "Loan") from lender PENSCO Trust Company LLC, custodian FBO Terry M. Mallery IRA. (Complaint ¶ 2.) The monthly payment for this loan was \$3,883.75, and had a loan maturity date of February 1, 2021. (*Ibid.*) This Loan was arranged by Terry M. Mallery, a licensed real estate broker in the State of California ("Mallery.") (*Id.* ¶ 15.)

On August 27, 2019, Plaintiffs executed a First Modification to Promissory Note (the "First Modification") which extended the maturity date of the Loan to February 1, 2023, advanced additional funds of \$65,000.00 to increase the principal loan balance to \$543,000.00, and increased the ongoing monthly interest-only payment amount to \$4,864.38. The interest rate was increased to 10.75%. (Complaint ¶ 17.) On May 4, 2020, Plaintiffs executed a Second Modification to Promissory Note (the "Second Modification"), extending the maturity date of the Loan to September 1, 2023, increasing the principal loan balance to \$560,116.50, and decreasing the ongoing monthly interest-only payment amount to \$3,967.49. (The interest rate was decreased to 8.5%. (*Id.* ¶ 18.)

A Notice of Default for the Loan was recorded against the Property on or about July 5, 2023, listing a default of \$31,389.46 as of July 5, 2023 (the “Notice of Default”). (Complaint ¶ 20.) Thereafter, a Notice of Trustee’s Sale was recorded on October 5, 2023, which set an initial foreclosure sale date for November 14, 2023 (the “Notice of Sale”); the Notice of Sale listed the unpaid obligations under the Deed of Trust as \$631,844.48. (*Id.* ¶ 21.)

On November 14, 2023, Plaintiff Charter-Smith filed for Chapter 13 bankruptcy in the United States Bankruptcy Court, Eastern District of California, Case No. 23-90543. This case was dismissed for failure to timely file documents. (Complaint ¶¶ 22, 23.) On January 9, 2024, Mallery purchased the Property at public auction and the deed was recorded on January 26, 2024. (*Id.* ¶¶ 24, 25.) On or about February 13, 2024, Plaintiffs were notified that the Property had been purchased by Mallery. (*Id.* ¶ 26.)

On March 20, 2024, Plaintiffs filed the instant lawsuit against multiple defendants including Mallery, Pacific Premier Trust FKA Pensco Trust Company, LLC, Mid Valley Title and Escrow Company, Monterey Peninsula Capitol Partners, Inc. and various John Does. The Complaint alleged causes of action for: 1) Wrongful Foreclosure, 2) Violation of Civil Code § 2924(m), 3) Violation of California Constitution Article XV, Section One and California Civil Code section 1916-3, 4) Breach of Contract, 5) Unfair Business Practices, 6) Slander of Title, 7) Fraud, and 8) Negligent Misrepresentation.

Mallery died in June of 2024. Mallery and his wife, Ronda Copland (“Copland”), had created a trust in 2016 called the Mallery-Copland 2016 Trust (“Trust”) (Declaration of Nelson Goodell (“Goodell Decl.”) ¶¶ 5-6, Ex. A.) Plaintiffs filed a notice of lodgment of a copy of the Trust, conditionally under seal. (*Id.* ¶ 6.)

II. Legal Standards

“The court may, in furtherance of justice, and on such terms as may be proper, allow a party to amend any pleading ...” (Code Civ. Proc., § 473, subd. (a)(1).) The court’s discretion will usually be exercised liberally to permit amendment of the pleadings. (*Nestle v. Santa Monica* (1972) 6 Cal.3d 920, 939.)

Unless otherwise required, court records are presumed to be open. (CRC Rule 2.550(c).) Pursuant to CRC Rule 2.550(d), a Court may only order that a record be filed under seal if it “expressly finds” that: 1) There exists an overriding interest that overcomes the right of public access to the record; 2) The overriding interest supports sealing the record; 3) substantial probability exists that the overriding interest will be prejudiced if the record is not sealed; 4) The proposed sealing is narrowly tailored; and

5) No less restrictive means exist to achieve overriding interest.

Code Civil Procedure section 377.41 provides:

On motion, the court shall allow a pending action or proceeding against the decedent that does not abate to be continued against the decedent's personal representative or, to the extent provided by statute, against the decedent's successor in interest, except that the court may not permit an action or proceeding to be continued against the personal representative unless proof of compliance with Part 4... governing creditor claims is made.

III. Discussion

A. Motion for Leave to Amend

Plaintiffs seek leave to file a FAC in order to provide a "more comprehensive and focused statement of facts, redact certain superfluous information, to modify and add certain causes of action, and join necessary parties as Defendants." (Motion p. 2.) In particular, Plaintiffs seek to add a cause of action for quiet title and to amend the Complaint so as to allege the death of Mallery and to name Ronda Copeland as the successor to Mallery's interests. Plaintiffs also seek to add additional factual allegations about Defendant Mid Valley Title and Escrow's filing of a Deed of Full Reconveyance in favor of Plaintiffs in November 2022 and a subsequent rescission of such reconveyance seven days later.

No defendant has filed any opposition to the motion to amend. Accordingly, **the Motion for Leave to file a FAC is GRANTED.**

B. Motion to Seal

Plaintiffs move to permanently seal the Trust out of an abundance of caution to protect any potentially confidential financial information contained in the Trust. The confidentiality interests at issue belong to Mallery and Copland. Given that Mallery cannot, at this time, represent his own interests, and Copland is not currently a party, the Court finds that sealing the Mallery Copland 2016 Trust is necessary to protect their confidentiality interests.

Accordingly, **the Motion to Seal is CONDITIONALLY GRANTED**; at such time as Copland may be a party the Court will unseal the Trust if that is requested by her.

C. Motion to Substitute Copland as Successor in Interest

Plaintiffs move to substitute Copland as the Successor in Interest to Mallery. Copland has specially appeared to oppose the motion. She argues that Plaintiffs cannot meet the requirements of Code Civil Procedure 377.40 because there is no personal representative of the estate and because there is no statute pursuant to which Copland can be made successor in interest.

Pursuant to Code Civil Procedure section 377.11, the decedent's successor in interest is defined as "the beneficiary of the decedent's estate or other successor in interest who succeeds to a cause of action or to a particular item of the property that is the subject of the cause of action."

Plaintiffs have provided evidence that Copland is the surviving trustee and settlor of the Trust. (Goodell Decl., ¶¶ 6-7; Notice of Lodgment, Exh. A). They have also provided evidence that Copland is the beneficiary to an account which holds the Property. (RJN Ex. 1.) Thus, Copland is the beneficiary who succeeds to "a particular item of the property that is the subject of the cause of action." (CCP § 377.10.) Copland does not address the statutory definition of "decedent's successor in interest."

As the beneficiary of the account which holds the Property, Copland meets the statutory definition of "decedent's successor in interest." Code of Civil Procedure 377.41 allows the Court, on motion, to continue the action against the successor in interest and does not contain any specific time requirement for bringing such a motion.

Accordingly, Plaintiffs' Motion to have Copland Substituted as successor in interest is **GRANTED**.

The clerk shall provide notice of this ruling to the parties forthwith. Plaintiffs to submit formal Orders complying with Rule 3.1312 in conformity with this Ruling.

RENFROE v FCA US, LLC

24CV47466

PLAINTIFF'S MOTION FOR ATTORNEY'S FEES COSTS AND EXPENSES

This case stems from the purchase of a motor vehicle by Plaintiff Joshua Renfroe ("Plaintiff"). Defendant is FCA US, LLC ("Defendant.")

I. BACKGROUND

On January 4, 2023, Plaintiff purchased a new 2022 Dodge RAM 2500 diesel truck ("Vehicle.") (Declaration of Shawna M. Melton ("Melton Decl.") ¶ 6.) Between December 13, 2023 (26,072-miles) and March 27, 2024 (30,872-miles), the vehicle was presented at least five times to FCA for the same defect - a Check Engine Light with a loss of power. (*Ibid.*) To address the issues, FCA repeated the same repair, replacing the exhaust pressure differential sensor on December 19, 2023 (26,072-miles), March 15, 2024 (30,452-miles), and again on March 27, 2024 (30,872-miles). (*Ibid.*) FCA failed to repair the defects and to honor necessary needed warranty work, giving rise to additional repairs and concerns after the lawsuit was filed. (*Id.* ¶ 8.) Plaintiff attempted to informally resolve this matter short of litigation by demanding that FCA repurchase his defective vehicle on March 20, 2024 but FCA refused. (*Ibid.*)

On June 28, 2024, Plaintiffs filed the Complaint in this matter. Plaintiff and Defendant settled this matter on June 1, 2025. (Melton Decl. ¶ 5.) On June 2, 2025, judgment was entered in favor of Plaintiff and against FCA in the amount of \$195,000.00 plus reasonable attorney's fees and expenses. (Exhibit A.)

Now before the Court is Plaintiffs' motion for attorney's fees.

II. LEGAL STANDARD

A prevailing party in an action under the Song-Beverly Act may be entitled to reasonable attorney's fees. (Civ. Code § 1794(d).) The calculation of attorney's fees under the Song-Beverly Act is based on the lodestar method, which multiplies the number of hours reasonably expended by a reasonable hourly rate. (*Graciano v. Robinson Ford Sales* (2006) 144 Cal.App.4th 140, 154.) This base figure may then be adjusted by taking into